

LIMBACH HOLDINGS INC LMB

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by

BSCM753

2026 2027

Price:	50.00	EPS	0	0
Shares Out. (in M):	12	P/E	0	0
Market Cap (in \$M):	600	P/FCF	0	0
Net Debt (in \$M):	140	EBIT	0	0
TEV (in \$M):	740	TEV/EBIT	0	0

Description

A debate surrounding its legacy business has masked the recent progress Limbach (Ticker: LMB) has made adding data center projects in its order book and announcing transformational M&A that could further accelerate data center revenues.

"We are excited to welcome the CYMCOR team to the Limbach family." – LMB CEO Michael McCann (08/04/2026)

On August 4th, concurrent with reporting disappointing second quarter results, LMB announced a relatively small acquisition that could have larger implications. As CEO Michael McCann reiterated much of what was discussed on the Q1 earnings call including guidance being weighted to the second half of 2026, the \$30 million acquisition of CYMCOR was (understandably) overshadowed by the debate surrounding organic growth and sustainable margins. Investors have grappled with whether LMB can achieve its 2026 guidance and seemingly paid little attention to the company flexing its healthy balance sheet to create future value. With labor shortages being one of the bottlenecks slowing down the building and ongoing upkeep of data centers, CYMCOR could be the gateway allowing LMB to profitably allocate its resources toward that logjam.

"Over the past two decades, CYMCOR has built a reputation as a trusted advisor to owners managing some of the most complex capital programs in the industry."

– CYMCOR President Marc Robertson (08/04/2026)

With data center green shoots recently emerging in LMB's backlog, the addition of CYMCOR has the potential to accelerate the company's mission to make that industry a significant contributor to future revenues. Texas-based CYMCOR is a professional services firm specializing in program management and strategic consulting in the planning phases of hyperscale, colocation, and enterprise data centers. With early access to those future projects, LMB will be in pole position to work on new data center projects that also need multi-year system maintenance services. Given the CYMCOR deal is relatively small – adding less than \$5 million to 2027 EBITDA – equity investors focused on the negative guidance revision to 2026 EBITDA. However, our view of the future for LMB became much more interesting with this acquisition, especially with more capital allocation announced only a few weeks later.

"1901 meaningfully increases our presence in the Midwest and adds significant mechanical, electrical and controls capabilities, while strengthening our ability to serve several of the mission-critical markets we target." – LMB CEO Michael McCann (09/01/2026)

LMB quickly turned around to announce another M&A deal on September 1st. This time folding a synergistic business into the company as was the case with past bolt-ons. While the CYMCOR acquisition is small but transformational for LMB's future, the acquisition of 1901 immediately expands LMB's footprint and increases EBITDA more substantially right away. 1901 is a Wisconsin-based mechanical, electrical, and plumbing contractor that fits neatly into the LMB operation. With future growth prospects and cost synergies post integration, we believe 1901 is accretive in year 1 and strategically valuable as the company looks to be a national provider of project design and construction solutions while also offering multi-year maintenance services on the back end.

"We believe this combination creates meaningful long-term value for our customers, employees and stockholders." – LMB CEO Michael McCann (09/01/2026)

Including the CYMCOR and 1901 acquisitions, we believe LMB EBITDA can jump significantly from ~\$80 million in 2026 to approximately \$105 million in 2027. At a pro forma 2027 EBITDA multiple of just 7.0x, LMB is trading for a large discount versus peers trading for 13.2x 2027 EBITDA on average. The poor sentiment and the valuation multiple gap plaguing LMB stock can be explained by several factors, including 1) LMB revising 2026 guidance lower, 2) LMB being viewed as having missed the data center wave while peers benefit through accelerated revenue growth, and 3) LMB being an unproven small cap stock. Our view is that LMB will soon begin to burn data center backlog into revenue, benefit from new data center opportunities via CYMCOR's pre-planning services, and win new organic business due its growing geographic footprint. The most compelling aspect of the LMB long-term investment thesis is the company's ability to execute its M&A pipeline utilizing ongoing free cash flow while remaining under-levered and in position for more M&A. Following these

deals, LMB will be 1.3x leveraged on 2027 EBITDA, but will be close to debt-free once again early in 2028. Our view is that the company will revert back to organic growth in short order, grow its data center business, ramp EBITDA in 2027, de-leverage rapidly, and be in position to do more M&A in 2028. These factors should help sentiment and expand the stock's valuation multiple. Using 12.0x EBITDA, LMB shares could reach more than \$153.00 per share over the next 2 years (versus ~\$50.00 today).

Our conviction is high that LMB's pipeline of M&A deals and growth in data center project and maintenance services will drive attractive investment returns going forward.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- data center bookings / revenue
- benefits of 2 announced M&A deals
- 2027 revenue/EBITDA guidance
- rapid de-leverage

Messages

Subject	Questions
Entry	09/18/2026 12:53 PM
Member	samwise9

Thanks for this. Few questions:

- Curious why you prefer this to LGN? LGN is currently at 11x 2027 EBITDA whereas you believe LMB should trade at 12x, and LGN just grew organic revs 60% in 1H26 while these guys were negative (recognize there was some noise around 1Q).
- Doesn't track record play a big part in data center selection, which might make large (or any) customers hesitant to go with an unproven player?
- Management also called out weakness in non-data center markets, while LGN said they are seeing broad strength with HSD / LDD organic rev growth outside of data centers. That leads me to believe these guys really aren't just as good of operators, especially since margins are deteriorating as well, but any thoughts there?

Subject	Questions as well
Entry	09/18/2026 09:08 PM
Member	Artz0423

Pioneer is making it difficult to understand what's happening with legacy LMB ODR - do you have a view on normalized growth rate here?

They need to do nearly \$30M per Q in H2 to hit the low end of their guide for this year. We asked management and received a non-answer (we need that book to burn).

GCR is roaring back today when the past few years were all about the transition to ODR. They were adamant about this shift. Do you know if this is permanent? And if it is, shouldn't the business have structurally lower margins and a different valuation as a result?

Everyone citing the growing backlog - what margin assumptions are embedded in that? We asked management this as well, and received another non-answer. They did however say there is now price sensitivity within ODR and that's been happening for a few Qs. ODR book-to-bill weakened materially in the middle of 2025, then recovered to roughly 1.1x in Q4, 1.2x in Q1 and 1.1x in Q2. At the same time, ODR gross margin has gone from roughly 29% to 24%.